Current Trends in India Economy - I

Reference: Summary of Economics Survey 2025-26

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How to think about this topic

- Unlike a lot of the other economics we have been doing, doing this topic well requires geo-political and historical context.
- Numbers have a lot of value, and are not to be over looked.
- Most of the literature (especially the rigorous work) provides some sort of opinion at the end.
- We will try our best to refrain from opinions here (though they are certainly important).

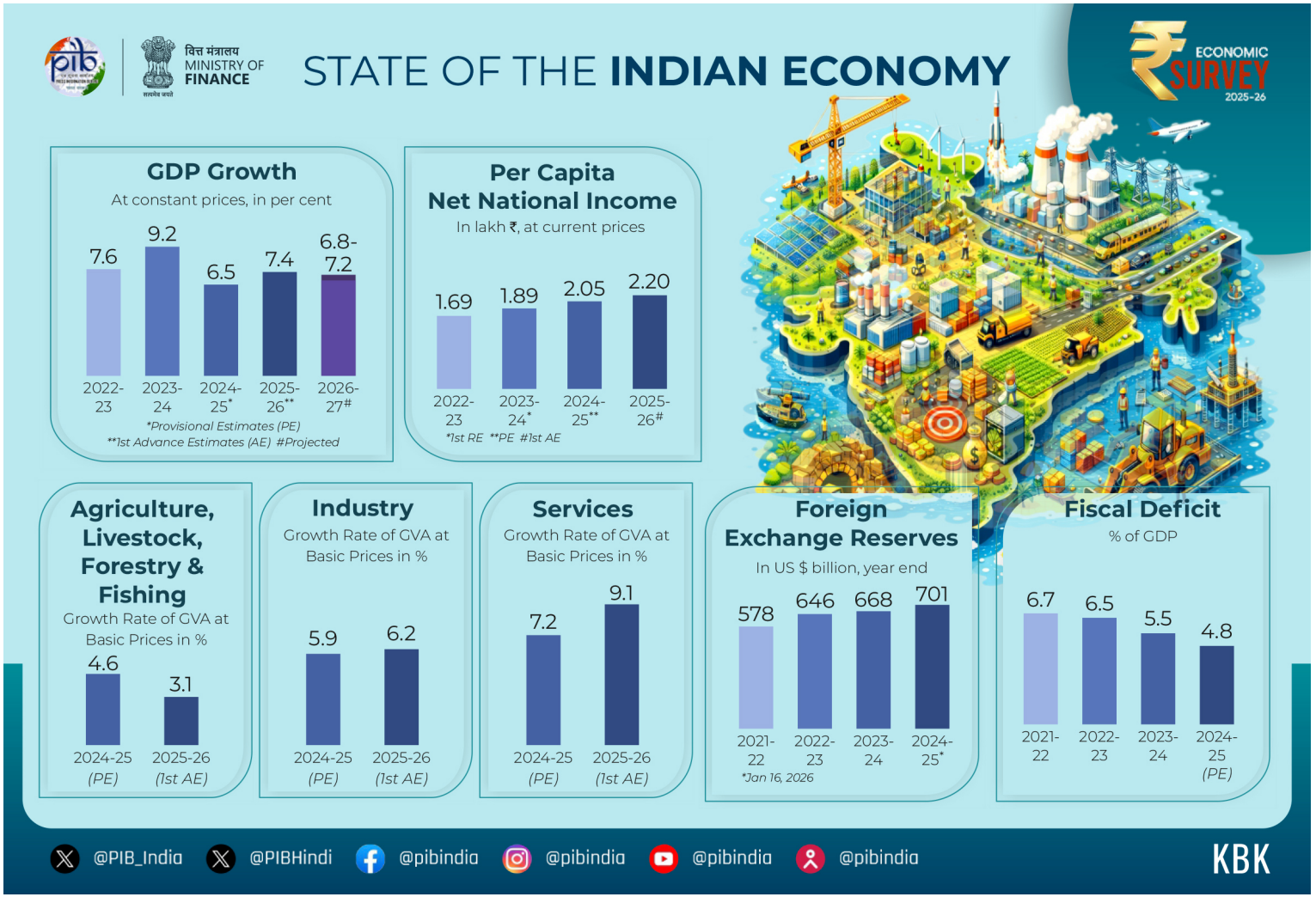
What is the best way to look at this?

- Ideally, one may look into 3 issues
  - Production and growth.
  - Employment.
  - Monetary factors and inflation.
  - Typically, growing economies put a lot of emphasis on growth.

Economic Survey 2025–26

- What is it?
- Presented annually in front of the Parliament prior to Union Budget.
- Entire Survey: Click here.
- Time series of GDP at constant prices Click here
- Decent Summary: Click here

Broader picture



Service Sector

Infrastructure

वित्त मंत्रालय
MINISTRY OF
FINANCE

ECONOMIC SURVEY 2025-26

Infrastructure:
Strengthening Connectivity, Capacity and Competitiveness

- NH network growing by about 60% from 91,287 km (FY14) to 1,46,572 km (FY26, up to December)
- 3,500 km of Railway added in FY26 and 99.1% electrification achieved by October 2025
- India now World's 3rd largest domestic aviation market with number of airports increasing from 74 in 2014 to 164 in 2025
- High-Speed Corridors increased ten-fold from 550 km (FY14) to 5,364 km (FY26, up to December)
- India became 4th nation to achieve autonomous satellite docking (SpaDeX) capability

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Possible Questions?

- Some research question if growth rates are overestimated.
- This is natural to an extent, that government data would provide an optimistic picture.
- The paper discussed below provides some technical flaws in growth calculation.
- However, one may treat the ranges (years) chosen with some degree of skepticism.

India's 20 Years of GDP Misestimation: New Evidence

- **Breakdown in Correlations**: Post-2015 GDP methodology weakened links between GDP and macro indicators.
- **Informal Sector Proxy Issue**: Formal data proxies 44% informal GVA; shocks hit informal harder (sales growth: formal 10%, informal 6.8% post-2015).
- **Deflator Bias**: WPI (commodity/oil-heavy) understates inflation vs. CPI; post-2011 CPI outpaced WPI by 2.2pp/year, inflating real growth.

Anand, Felman, Subramanian (2026)

Slide 2: Evidence & Magnitude

Period	Official Growth	True Growth	Bias
2005–11	6.9%	∼8%	-1.1pp
2011–23	6%	4–4.5%	+1.5–2pp

- Cross-country: India outlier post-2011 (+2.3pp overprediction).
- Revised: Real GDP level overstated ∼22% by 2025; consumption ∼31%.

Slide 3: Conclusions & Policy

- **True Trajectory**: Boom (2005–11), then slowdown—not steady.
- **Fixes**: 2026 revisions address via consultations; use NSS surveys, CPI deflators.

Anand, Felman, Subramanian (2026)